

HARAMAYA UNIVERSITY

COLLEGE OF SOCIAL SCIENCE AND HUMANITIES

FRESH MAN DIRECTORATE

COURSE: ENTREPRENEURSHIP

TITLE :KAYO KOF LAUNDRY SERVICE

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1 KAYO KOF LAUNDARY SERVICE

1.1 INTRODUCTION

Kayo Kof Laundry Service is a small business private limited company it will be open in M opportunity for several unemployed Persons and minimize wastages of customer time.

The source of financial capacity to establish the business received from some way. The major contributor to establishing the businesses are entrepreneurs, they provide not only money but also support through by idea generation. The other source of financial capacity is got debt service from financial institution.

The business would be provide several washing service to the community ; among that gives washing service such as T-shirt, Shirt, Coat, skirt, Rob, Rug, Blanket traditional cloth and others .at comfortable price and in the short period of time in addition to that will be give door to door service for 24 hour.

Generally our business provides useful service to satisfying the need and wants of our customers and should be supplies Quality and Best service than the other's competitors.

(2)Executive Summary

Kayo kof Laundry service which is a partnership business company and it gives quick and quality washing laundry services to fulfill the customer demand at fair price in a short period of time.

The main objective of the business is to maximize the customer satisfaction and increase the capital balance of the partnership through 24 hours service giving and door to door program.

Expected by this and other special criteria this business plan program should be one of the best service provider partnership in the area of Haramaya University .

This business plan unique from the other competitors by certain special services and renders service at cheap adequate, quality and fair prices.

As a whole to establish the business one year debt incurs from the bank is 200,000 birr in addition to this the partner contributed from personal asset for 60,000 birr and uses another capital sources.

When engages in to this service the research considered the factor that contributed to the achievement of the business through studying about environmental conditions and competitors weakness and their strength to improve its acceptability by using the competitors limitation/weakness/part.

Generally when the business start to giving a services providered more advantage services than its competitors with quick and quality washing services at fair prices for 24 hours a day to the customer forever.

(3) Industry Analysis

3.1) Historical Achievements

Before the current time in our country this kind of services giving business was not more familiar it known and improved in the community at the earliest period the attitude of the people about the laundry services which are not more popular and well known from this circumstance now a days the demand of the people increases relatively to the earliest period. By understanding the interest and demand of the people by regarding to the giving services to the society and also save the time and energy.

At the present time many laundry services business is established and also create the competitors in the industry environment through their own some strengths and some weakness.

3.2) Competitors Weakness

Among the major competitor weakness /limitation/;-

- Most of are charged high prices for the services they rendered providers.

- The render services for few hours in the day and for few day in the weak.
- Lack of Modern machine to provides quick and quality services for the customer.
- Some are not handling the customer well; some of them show unethical behavior.

3.3) Competitors Strength

Given if the competitors have some weakness in their job they also have their strength such as;-

- Most competitors have their own experiences and Knowledge about how their services rendered.
- Large number of customers.
- They are could be create good connection with the customers set good image in the mind of customer. Generally by considering the weakness of the major competitor's Bright laundry Services PLC will provides quality, adequate and quick laundry services to the customer.

3.4) Selected market segmentation

The market segments based on types of washing cloth:

1) Segments based on washed by chemicals.
2) Segments based on washed by detergent.
3) Segments based on washed by dry washing.

This business uses market penetration pricing method (policy). Therefore high prices and low prices cloths these prices are recognized:

- ✓ fixed costs
- ✓ variable costs
- ✓ factory overhead costs
- ✓ reasonable markup if any

(4)Description of the Business

Bright Laundry services private limited company will be opened in Haramaya University site to solve the community laundry services problem in householders and around Haramaya university living community this place is comfortable for accessibility of customers.

Kayo Kof Laundry services is a partnership which provides all type of washing services to satisfy our customer needs and wants

4.1) Background of Entrepreneurs

The partners are students at Haramaya University fresh man first year syudents. All of them are worked in the same company with different positions. Umar &Abebe being accountant, Muhammed is Manger, Faiza&Bunu is cashier and Anes,Abayinesh and Gerema is service manager and all of the partners have work experienced in their carrier.This business is started by cloth participation for all partners their skill, experience & knowledge and also by gathering several information from Muhe laundry. We will be establish this laundry to serve the community and particularly that live around summit area peoples.

4.2) Visions

- In our University Kayo Kof laundry services shall be recognized agile and strong.
- To make one of the best laundry services giving business in our country.
- For the future we will provides modern laundry services by purchasing European standard machine. When insert the coin then it's providing the services.

4.3) Missions

- The missions of our business are to provide competences and quality services for the community.
- To use updated machines and it gives modern laundry services
- To provide quick and quality laundry services to satisfy the need and want of customer with the short time and adequate price.

4.4) Core Value

1. We will be ethical, honest and accountable.
2. We will make every effort to achieve superior financial return.
3. We will commit to high level performance services quality organizational excellence and continuous development.
4. We will recognize our employees as our most important asset and we will help them development and grow.
5. We will commit to understand meet and exceed the needs expectation our customers.

5) Operational Plan

As the service provider there are many things that should be considered.

The first task is to fulfill the necessary material to the laundry services.

Thus material are necessary to begin our business;-

- ✓ Building
- ✓ Washing Machines
- ✓ Drying Machines
- ✓ Chemicals
- ✓ Detergent
- ✓ Iron
- ✓ Packaging Material
- ✓ And all Necessary Material

The business will give its services quick, quality and adequate to satisfy the exact wants of the customer of with a polite treatment of our employee to the customer.

Our businesses follow the principle of "**Quality is our Motto**"

6) Marketing plan

6.1) Promotional Plan

There is much kind of promotional ways in the business to attract the existing & idle customer. To our business venture we use some of them like,

- ✓ TV
- ✓ RADIO
- ✓ MEGAZINE

- ✓ DOOR TO DOOR ADVERTIZING

This business promotional plan very important to the business expands and developed the community awareness about the service.

6.2) Pricing Plan

Types of cloth	Price
T-shirt	6 birr
Shirt	6 birr
Suit	30 birr
Coat	15 birr
Skirt	10 birr
Blanket	50 birr
Traditional Cloth	45 birr

7) Organizational plan

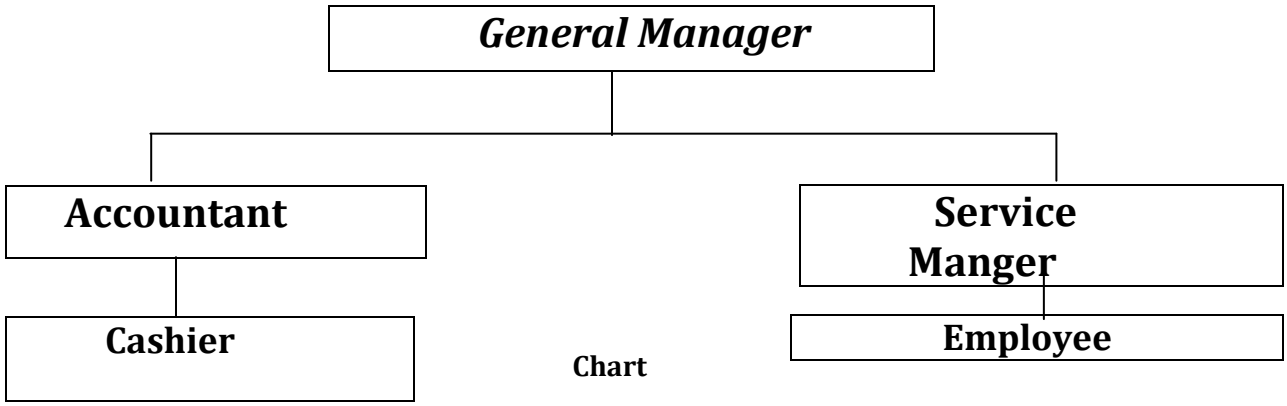
7.1) Form of business

The venture will be organized in the partnership with six partners each partners will contribute:

- ✓ Capital
- ✓ Business experience
- ✓ Special skills

7.2) Organizational chart

In any management field the establishments of a pyramid authority is fundamental to effective organization of that each segment the structure will be responsible for and has to authorized over a particular division of work to this effect an attempt should be made to change of organizational experience.



Chart

8) Risk Assessments

When making an investment decision, these might be uncertainty of some risk associated with the investment, because of that before an investment decision is made any potential investor will need to know about the measure potential risk and make assessment for a new business.

There is several potential risk to the new business resulted from the industry and competitive environment. Among these factors affecting risk includes associated with management skill, weakness in marketing delayed to use of new advanced technology and problems in production.

In our business there is some predictable risk might happen these are:

8.1) Property Risk

This risk associated with like machines breakdown and related property. To minimize this risk the business will use educated persons.

8.2) Promotional Risk

It is also other risk for our business and the cause of this are associated with customers because in our country most of the peoples are not use the modern laundry services. Instead of that most them they use traditional washing ways. So that our business promotion may not be take attention from

customers, but to minimize this risk we will be use special promotion techniques like door to door advertising the to insert in the minds of the people.

Bright Laundry Service PLC
Estimated Balance sheet

First year **SECOND** **THIDR**

Asset

Current Asset

Cash ----------20000----------25000-------32500

Supply----------30000----------31500--------40500

Prepaid Insurance----------13500----------12700-------11900

Total Current Asset--------- 63,500----------69,200------84,900

Fixed Asset

Building----------80000---------50000------8000
Equipment----------20000----------15000----------10000
Machine----------40000-------40000---------40000
Total Fixed Asset----------140000--------135,000----58,000
Total Asset----------203,500--------174,200-----142,900

Liabilities and Owners Equity

Current liability----------0----------0---------0
Long term debt----------200000-------134700--------97400
Total liability----------200,000-------134700-----97400

Owners Equity

Umer Capital----------10000----------15000---------20000
Muhammed Capital-----10000----------15000---------20000
Faiza Capital----------10000----------15000---------20000
Abayinesh Capital------10000----------15000---------20000

Bunu Capital----------10000----------15000---------20000
Gerema Capital----------10000----------15000-------20000
Total Capital ----------60000 --------90,000 -------120,000
Total liability & OE-----203,000----------174,200-------142,900

- Insurance is expired 800 birr per year.

Bright Laundry Service PLC
Estimated Income statement

	First year	***Second***	***Third***
Revenue	**210,000**	**250,000**	**290,000**
Operating Expense			
Salary Expense	72000	72000	81000
Insurance Expense	800	800	800
Advertising Expense	5000	3000	2000
Interest Expense	28000	25500	20500
Depreciation Expense			
Building	7500	7500	7500
Equipment	4000	4000	4000
Machinery	40000	40000	40000
Resea & Dev	8000	3500	2000
Miscellaneous	5000	6500	7500
Maintenance	11000	12500	13700
Total Expense	*221300*	*213300*	*209500*
Net Income	***(11,300)***	***52,700***	***85,500***

Kayo Kof Laundry Service PLC
Estimated Statement of Cash flow

First year Second Third

Cash flow from operating activity

Cash Collection from Services --210000 ----250000 --290000
Salary Payment ---------- (72000) ------ (72000) ---- (81000)
Advertising Payment -------- (10000) ------ (15000) --- (20500)
Other Payment ---------- (5000) -------- (6500) -----(7500)

Net Cash flow from operating act----103,000 ----172,500 --- 136,000

Cash flow from Investment activity

Contributed by owners -------60000 ------6000 -------8000
Acquisition of building --------- (80000) --------0 ----------0
Acquisition of equipment --------- (20000) ------0 ----------0
Acquisition of machine --------- (40000) --------0 ----------0

Net cash flow investing activity ***-------- 200(,000) -------6,000 --- 8,000***

Cash flow from financing activity

Cash flow from long term debt -----200000 ----------0 ----------0
Interest payment ---------- (28000) ---- (25500) --- (20500)
Loan payment ---------- 0 ---------- (10200) --- (22500)

Net cash flow from financing active -- 280,000 --- (35,700)-(43,000)

Beginning Cash ---------- - 0 ------ 20000-----25000
Cash flow during the year ----------20,000-- --5000 ------7500
Ending Cash balance ----------**20,000 ----25,000---32,500**

9) Time Table

Task(activity)	**Purchasing of building**	**Purchasing of Machine & Equipment**	**installiation**
Time required	2 Months	1 month	3 weeks

- It's clear the confusion which comes from without doing the mile stone schedule or time table.
- Time table is very important in order to achieve the goal or the objective of the business by following the order of activity sequences with the planed time.

10) Appendix & Reference

- Muhe Laundry services.
- From Internet.